Fraud Investigation Standard Operating Procedure (FIN-SOP-001)

Version 1.0 | Fictional document created for the FinGuard AI portfolio project.

1. Purpose and Scope

This procedure defines how fraud analysts triage, investigate and close suspected fraud alerts. It applies to all alerts generated by transaction monitoring rules, machine learning risk scores and anomaly detection.

AI-generated outputs are decision-support only. No transaction may be blocked, and no customer account may be changed, based solely on an automated score.

2. Roles

Analysts perform first-line triage. Senior analysts review escalated cases. The Head of Fraud Operations approves any customer-facing action.

3. Alert Triage

Alerts are prioritised by risk band. The band reflects model ranking and is not a calibrated probability of fraud.

3.1 Review Deadlines

HIGH band alerts must be reviewed within 4 business hours. MEDIUM band alerts must be reviewed within 24 hours. LOW band alerts are reviewed by weekly random sampling of at least 1 percent.

3.2 Alert Volume Surge

If HIGH band alert volume in any 7-day period exceeds 3 times the trailing 14-day average, the analyst must open a pattern investigation and notify a senior analyst the same day.

4. Evidence Requirements

Every finding in an investigation report must be traceable to evidence.

4.1 Minimum Evidence

A finding is considered supported only if it is backed by transaction data and at least one independent signal, such as an anomaly flag, a policy rule match, or a documented customer contact. A model score alone is not sufficient evidence.

4.2 Limitations

Reports must state known limitations, including data coverage gaps, small sample sizes, and the fact that statistical association does not establish causation. If evidence is insufficient, the report must say so rather than draw a conclusion.

5. Closing a Case

A case may be closed as confirmed fraud, false positive, or inconclusive. The closing note must list the evidence reviewed and the reviewer name.